

GZ: 2021-0.347.702 dated February 4, 2022 (Case Number: DSB-D124.3420)

[Note from the editor: Names and companies, legal forms and product designations, addresses (including URLs, IP and email addresses), file numbers (and the like), etc., as well as their initials and abbreviations may have been abbreviated and/or altered for pseudonymization reasons. Obvious spelling, grammar, and punctuation errors have been corrected.]

DECISION APPEAL

The Data Protection Authority decides on the data protection complaint of Markus A*** (complainant) from 1*** Vienna dated November 15, 2020 against N*** N*** Rechtsanwälte GmbH (respondent, registered in the commercial register under FN 6*1*7*4o by the Commercial Court of Vienna, previously N*** & N*** Rechtsanwälte GmbH) from 1*** Vienna regarding a violation of the right to confidentiality as follows:

- The complaint is denied.

Legal bases: Art. 4 No. 7, Art. 6 para. 1 lit. f, Art. 9 para. 2 lit. f, Art. 51 para. 1, Art. 57 para. 1 lit. f, and Art. 77 para. 1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter: GDPR), OJ No. L 119 of May 4, 2016, p. 1; § 1 para. 1 and 2, § 18 para. 1, as well as § 24 para. 1 and para. 5 of the Data Protection Act (DSG), BGBl. I No. 165/1999 as amended, as well as § 1a para. 6 and § 9 para. 1 of the Lawyers' Act (RAO), RGBI. No. 96/1868 as amended.

REASONING

A. Submissions of the parties and procedural history

1. In his complaint dated November 15, 2020, which was received by the Data Protection Authority on the same day via email (including an amendment from the same day), the complainant (submitting several document copies) summarized the following: The B*** Gaming p.l.c. (hereinafter referred to as B***) forwarded data concerning him to C*** Limited (hereinafter referred to as C***), which used this data in the proceedings pending at the District Court T*** under *3 C *24/20d against him. This constituted a violation of the relevant provisions of the GDPR. The data transfer was not covered by the data protection policies of B***. He had not given B*** permission to share this data with third parties. On pages 9 and 10 of the objection of C*** dated August 10, 2020, it states: The plaintiff registered a player account on the website operated by B*** www.b***.com on October 23, 2019. The plaintiff contacted B*** and requested a refund of his net losses based on the alleged illegality of B***'s online casino offerings in Austria. B*** agreed to refund the amount requested by the plaintiff purely out of goodwill, without acknowledgment of rights or obligations. In the course of this, B*** transferred the agreed amount to the plaintiff in December 2019. The respondent unlawfully stored and processed his data that had been illegally transferred from B*** to C*** without a legal basis. As a law firm, the respondent should have known that the data obtained by C*** was unlawfully acquired.

2. Following a deficiency rectification order from the Data Protection Authority (procedural order dated March 8, 2021, GZ: 2020-0.772.988), the complainant submitted additional information on March 24, 2021, stating that he considered his fundamental right to confidentiality under § 1 para. 1 DSG to be violated by the respondent as well as by B*** and C***, as the provisions regarding the legality of processing according to Art. 6 GDPR had not been observed.

3. Due to the cross-border reference – B*** and C*** are companies under Maltese law with their main offices in the Republic of Malta – two additional, separately conducted proceedings (case numbers DSB-D130.583 concerning B*** and DSB-D130.601 concerning C***) were initiated.

4. The respondent, requested to comment by the Data Protection Authority (procedural order dated March 26, 2021, GZ: 2021-0.226.849), countered the complaint in its statement dated May 11, 2021, as follows: The complainant is a customer of several of their clients, who legally offer gambling in the form of online casinos, including B*** and C***, which are part of a corporate group, and between which the relevant data was exchanged. The complainant opened player accounts with both companies and participated in online gambling, first with B*** and then with C***. In both cases, he requested the return of the amounts wagered after losses, claiming the illegality of the online casino offerings. He received a refund from B*** in December 2019 as a gesture of goodwill, after which he opened a player account with C*** in 2020 and filed a lawsuit against C*** at the District Court T***

under *3 C *24/20d after his renewed request for a refund of his gambling losses was rejected. In this proceeding, C*** was represented by the respondent. However, the court dismissed the lawsuit due to abuse of rights (not legally binding). In terms of data protection law, the respondent stated that while the GDPR does not recognize an explicit "group privilege," it can be derived from Recital 48 of the GDPR that an exchange of, among other things, customer data between controllers that are part of a corporate group can be based on a legitimate interest according to Art. 6 para. 1 lit. f GDPR. In the present case, their client had no other option but to achieve procedural success by passing on the data exchanged within the corporate group to the respondent as their legal representative, while the complainant, due to his abusive behavior...

****Legal Proceedings (cf. GDPR, Recital 47)****

cannot demonstrate a predominant interest in confidentiality. The same conclusion is reached based on an analogy from Art. 9 para. 2 lit. f GDPR, which provision explicitly permits the processing of particularly protected data for the purposes of legal defense. The data processing was therefore lawful, and the data protection complaint is to be dismissed.

5. The complainant has responded to the findings of the investigation procedure (procedural order of May 11, 2021, file number: 2021-0.341.020) after hearing from the parties, as follows: For the assessment of whether a violation of confidentiality under GDPR or DSG exists, it is legally irrelevant whether a civil court has found an abuse of rights in the underlying matter or not. Moreover, the judgment of the District Court T*** is not yet final, and in other proceedings with similar facts, the courts have concluded that he did not act abusively. The C*** offered prohibited gambling in Austria despite being aware of the Austrian legal situation and against better knowledge. The gambling company should have anticipated that some players would seek to reclaim their losses. Furthermore, the fundamental right to data protection according to § 1 DSG is a constitutionally protected right.

****B. Subject of the Complaint****

6. Based on the submissions of the parties, it emerges that the subject of the complaint is the question of whether the respondent was entitled to process the complainant's data in a civil lawsuit initiated by the complainant as the plaintiff before the District Court T*** on behalf of its client C***, to assert that the complainant had previously participated in online gambling with B*** and had received a refund from the latter company. The legality of the business activities (conducting online gambling) of B*** and C*** in Austria is not the subject of the proceedings.

****C. Findings of Fact****

7. The respondent is a company organized in the form of a limited liability company that practices law. In this capacity, on August 10, 2020, in the civil case pending before the District Court T***, file number *3 C *24/20d (Markus A*** against C*** Limited for the payment of EUR 1,765.00), as the appointed and authorized representative of the defendant C*** Limited, she submitted an "objection in the European procedure for small claims" against the complaint and stated therein (under point II. 7., also slightly expanded in content under points V. 1. to 3 of the submission) as follows (emphasis not reproduced):

"Even if the plaintiff assumes the invalidity of the concluded gambling contracts based on a view of law that is contrary to EU law, the plaintiff's lawsuit is clearly abusive. The plaintiff had already played on the website www.b***.com operated by the affiliated company B*** Gaming plc and incurred losses before opening a player account on our website www.c***.com. Based on the alleged illegality of the online casino offer, the plaintiff also demanded a refund of his net losses there, which were generously refunded to him in December 2019 without prejudice to the respective factual and legal position. The plaintiff subsequently opened a new player account on our website on January 16, 2020, shortly after the refund of his net losses on the website www.b***.com. By doing so, the plaintiff knowingly availed himself of what he considered to be an 'illegal' gambling offer and acted with clear intent to cause harm. The plaintiff played with the knowledge that he could not lose. For in the event of a loss, he would demand the losses incurred back from us. Should he win, he would of course simply keep the winnings." This submission has been reiterated in later submissions in this proceeding.

8. ****Assessment of Evidence:**** These findings are based on the consistent submissions of both parties and the copy of the relevant submission provided by the complainant (attachment to the complaint supplement dated November 15, 2020, enclosed as an attachment in file number: 2020-0.772.988).

9. The B*** and C*** are corporate affiliates that belong to the same corporate group. The relevant data regarding the former customer relationship and its termination was transmitted to the respondent by C*** from B***.

10. ****Assessment of Evidence:**** As before; this finding is further supported by the credible and undisputed submission of the respondent regarding the affiliation of B*** and C*** to the same corporate group, as stated by the complainant in the response dated May 11, 2021 (enclosed as an incoming document in file number: 2021-0.341.020).

****D. From a Legal Perspective, It Follows:****

****D.1. Summary:****

11. The complaint has proven to be unfounded, as the data processing for the purpose of a factual, plausible, and process-related defense submission by a party representative in a civil law dispute was justified by Art. 6 para. 1 lit. f in conjunction with Art. 9 para. 2 lit. f GDPR.

****D.2. Applicable Legal Provisions:****

12.

The fundamental right to confidentiality enshrined in § 1 DSG, according to its first paragraph, grants everyone, particularly with regard to the respect for their private and family life, a right to the confidentiality of their personal data, as long as there is a legitimate interest in doing so. This includes the protection of the affected person from the investigation of their data and the disclosure of data obtained about them. However, the fundamental right to confidentiality is not absolute and may be restricted by certain permissible interventions.

13.

It should be noted that in the present case, a violation of the right to confidentiality under § 1 Abs. 1 DSG is to be examined, and restrictions on this right may arise from § 1 Abs. 2 DSG.

14.

According to § 1 Abs. 2 DSG, restrictions on the right to confidentiality, insofar as the use of personal data does not occur in the vital interest of the affected person or with their consent, are only permissible to protect overriding legitimate interests of another party, whereby interventions by a state authority may only occur based on laws that are necessary for the reasons stated in Art. 8 Abs. 2 EMRK.

15.

However, the GDPR and, in particular, the principles enshrined therein must be considered in the interpretation of the right to confidentiality (see the decision of July 4, 2019, GZ: DSB-D123.652/0001-DSB/2019, RIS).

16.

According to Art. 6 Abs. 1 lit f GDPR, the processing of personal data is lawful if the processing is necessary for the protection of the legitimate interests of the controller or a third party, unless the interests or fundamental rights and freedoms of the affected person, which require the protection of personal data, outweigh, particularly when the affected person is a child.

17.

According to Art. 9 Abs. 1 GDPR, the processing of personal data revealing racial and ethnic origin, political opinions, religious or philosophical beliefs, or trade union membership, as well as the processing of genetic data, biometric data for the unique identification of a natural person, health data, or data concerning the sexual life or sexual orientation of a natural person is prohibited. According to Art. 9 Abs. 2 lit f GDPR, paragraph 1 does not apply in cases where the processing is necessary for

the establishment, exercise, or defense of legal claims or for acts of courts in the course of their judicial activity.

18.

§ 1a Abs. 6 and § 9 Abs. 1 RAO state:

“§ 1a [...]

(6) The provisions concerning lawyers apply mutatis mutandis to law firms.

[...]

§ 9. (1) The lawyer is obliged to conduct the representations undertaken in accordance with the law and to represent the rights of their party against everyone with diligence, loyalty, and conscientiousness. They are authorized to present anything they deem useful for the representation of their party without reservation, to use their means of attack and defense in any manner that does not contradict their mandate, their conscience, and the laws.

D.3. Data Protection and the Activities of Lawyers:

19.

It should first be noted that lawyers, including law firms, regularly act as data controllers when they process data for the purpose of representing their clients. While they act under power of attorney and are thus authorized to make legally binding statements on behalf of their clients, the decision regarding which data of third parties are to be processed for the fulfillment of the mandate is made by the lawyer without instruction from the client, subject to evidence to the contrary. Any other understanding of the relevant roles of the controller (Art. 4 No. 7 GDPR) or processor (Art. 4 No. 8 GDPR) would be incompatible with the independence of a lawyer in matters of professional practice (see the considerations of the Data Protection Authority in the decision of March 9, 2015, GZ.

DSB-D122.299/0003-DSB/2015, RIS, as well as the considerations of the Federal Administrative Court regarding the role of the controller and independence of professional practice for private detectives, decision of June 25, 2019, ZI. W258 2188466-1, RIS, and court experts, decisions of September 27, 2018, ZI. W214 2196366-2, RIS, and January 23, 2020, ZI. W214 2196366-3, RIS).

20.

The respondent has made the decision to use data that was originally processed by B*** and that her client received from the latter company through data exchange within a corporate group (Art. 4 No. 19 GDPR) to defend the legal position of C***, that the complainant does not owe the payment of EUR 1,765.00, in fulfillment of her duties as a law firm in accordance with § 9 Abs. RAO in written submissions to the District Court T*** by presenting the relevant facts and thus transmitting this data to the competent court.

D.4. Purposeful Legal Submissions as the Basis for Lawful Data Processing:

21.

Art. 9 Abs. 2 lit f GDPR creates a legal basis for the use of particularly protected data (such as health data of an affected person) even against the will of the latter in the course of an official investigation procedure (court or administrative procedure).

to be allowed. The provision can also be used (see above, para. 15) as a basis for an intervention in the right to confidentiality.

22.

This regulation aims to prevent a legal claim from being asserted in courts, in an administrative procedure, or out of court (and thus ultimately not enforceable) or the defense position from being weakened because this is not possible without the processing (in particular the disclosure in the procedure) of sensitive data of another person. At the same time, it is stipulated that courts, in the course of their judicial activities, may process sensitive data (such as health data for calculating pain compensation or determining other claims) (in particular, collect, record, store, and – if necessary – also disclose to other parties involved in the proceedings) that are particularly necessary for the processing of the case and decision-making ("functionality"). [...] The criterion of necessity (if applicable, within the framework of a balancing of interests) must be observed, even if the necessity of specific data may be unclear in disputed claims. (Kastelitz/Hötzendorfer/Tschohl in Knyrim, DatKomm

Art 9 GDPR (as of 7.5.2020, rdb.at), para. 45, emphasis not in the original).

23.

As the respondent correctly stated, the provision in conjunction with Art. 6 para. 1 lit. f GDPR can also be invoked as a justification for processing non-specifically protected data for the purposes of legal defense before a court through an interpretative extension. No consent from the affected person is required for data processing based on Art. 6 para. 1 lit. f and Art. 9 para. 2 lit. f GDPR.

D.5. Balancing of Interests:

24.

Based on the established facts, it is plausible that the respondent's submission was suitable and necessary to strengthen the defense position of C*** as the defendant party. According to § 1a para. 6 and § 9 para. 1 sentence 2 RAO, the respondent, as a law firm, is professionally authorized to use such a means of defense. However, the authority (administrative authority or court) to which it is presented must always decide on the admissibility of evidence (DSB, recommendation of 02.03.2017, GZ: DSB-D213.453/0003-DSB/2016, RIS, concerning § 50a DSG 2000 and the data of an unlawful video surveillance/image processing; see also DSB, decision of 13.12.2019, GZ: DSB-D123.978/0003-DSB/2019, RIS, concerning the non-existent claim for deletion of data from unlawful image processing intended to serve as evidence in a tenancy dispute). The same applies mutatis mutandis to questions regarding the admissibility and procedural relevance of a party's submission.

25.

The legislators of the GDPR and the RAO see the effective functioning of the administration of justice, which also includes access to evidence and the right to present facts, as an important public interest realized (see particularly the legal opinion cited above in para. 22 and DSB, decision of 6.12.2021, GZ: 2020-0.774.665 [case number: DSB-D124.3119], not yet published, concerning the submission of a document copy from an uncertain source by a lawyer before a labor court).

26.

This certainly establishes a legitimate interest of the respondent in data processing.

27.

This legitimate interest is countered by the legally protected interest of the complainant under § 1 para. 1 DSG in the confidentiality of his data as well as his obvious interest in preventing the respondent and thus the C*** it represents from presenting facts that could harm his own success in the proceedings.

28.

However, the complainant is unable to demonstrate that his legitimate interests outweigh those of the respondent.

29.

It follows that the respondent was entitled to carry out the data processing in question for the purpose of a factual, plausible, and process-related defense submission.

D.6. Conclusion:

30.

Since the respondent could rely on the justification under Art. 6 para. 1 lit. f in conjunction with Art. 9 para. 2 lit. f GDPR, it did not unlawfully interfere with the complainant's right to confidentiality.

31.

The complaint was therefore to be dismissed as unfounded in accordance with § 24 para. 5 sentence 3 DSG.